

THE SOUTH METHOD

Examine the activities that Dr. South undertakes prior to purchasing an automobile. You might get the impression that he is a tightwad. Most UAWs like Dr. South bolster their hyperconsumption behavior by telling would-be critics that everything they buy is purchased near cost, at cost, below cost, and so on. It is true that Dr. South is an aggressive bargain shopper. But he just paid more than \$65,000 for an exotic sports car. Is this really a bargain? Dr. South made this purchase at “near dealer’s cost.” But what were the costs of this so-called deal in time and effort? Most high-income generators, whether they are PAWs or UAWs, work more than forty hours a week. Typically, the amount of time remaining each week is allocated in ways that are congruent with their goals.

All too often high-income-producing UAWs spend countless hours studying the market—but not the stock market. They can tell you the names of the top auto dealers, but not the top investment advisors. They can tell you how to shop and spend. But they can’t tell you how to invest. They know the styles, prices, and availability at various car dealers. But they know little or nothing about the various values of equity market offerings.

As an example, contrast Dr. South’s most recent automobile-shopping activities with that of typical millionaires. On average, the American millionaire employs four to five simple bargain-shopping techniques when buying a motor vehicle. Dr. South does it differently. He uses at least nine bargaining/shopping tactics and strategies when negotiating with dealers.

Consider the level of car-purchasing knowledge Dr. South has recently acquired that will never pay capital gains or real dividends or enhance the productivity of his business. He now has knowledge about every Porsche dealer within a four hundred-mile radius of his home. Dr. South also can tell you immediately the dealer’s cost on nearly every Porsche model, the cost of options and accessories, and the performance characteristics of most models. It takes much time and effort to acquire such information.

Dr. South has an interesting style when purchasing automobiles. He first decides on the make and model of the vehicle he wants and the corresponding accessories. Then he goes all-out into information seeking and negotiating. It is not unusual for him to shop around for months “for the very best deal.” In the process he usually discovers the dealer’s cost